



Cyient's reported a subdued performance in Q4FY22 which was largely in-line with our expectations on the revenue front, however margin performance positively beat our expectations

- \$ Revenue came in at \$156.7 Mn, -0.8% qoq / +4.5% yoy and +0.4% vs. estimates
- INR revenue came in at INR 11,812 Mn, -0.2% qoq / +8.1% yoy and +1.6% above our estimates
- EBIT at INR 1,708 Mn, +4.7% qoq / +18.6% yoy and +15.5% above our estimates
- EBIT margins stood at 14.5%, vs 13.8% / 13.2% in Q3FY22 / Q4FY21 respectively and 129 bps above our est.
- PAT came in at INR 1,542 Mn, +17% qoq / +8.9% yoy and 26.2% above our estimates
- EPS at INR 14.1 in Q4FY22 vs 12/ 12.9 in Q3FY22 / Q4FY21 respectively
- Order intake stood at \$187.8 Mn in Services (-6.4% qoq / +13.1% yoy) and \$22 Mn in DLM (-11.6% qoq / +69.4% yoy). Cyient won 7 large deals with TCV potential of \$134.9 Mn.

Segment-wise Performance

- **Services** (83.3% of revenue) reported a growth of +1.1% qoq / +9.2% yoy
- **DLM** (16.7% of revenue) reported a degrowth of -9.3% qoq / -13.8% yoy

Segment-wise Performance

- **Aerospace** (25.5% of services revenue) reported -0.5% qoq / +1.5% yoy
- **Rail Transportation** (10.6% of revenue) reported -2.4% qoq / -13.5% yoy
- **Communications** (28.7% of revenue) reported +6.4% qoq / +7.7% yoy
- **Utilities** (7.4% of revenue) reported -4.9% qoq / +29.4% yoy
- **Portfolio Services** (27.8% of revenue) reported +0.6% qoq / +17.6% yoy

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY23E
Net sales	44,274	41,324	45,344	52,288	61,689
EBITDA	5,893	6,100	8,178	9,330	10,981
Adjusted net profit	3,423	3,714	5,277	5,769	6,845
Free cash flow	2,787	6,154	7,015	7,158	7,385
EPS (Rs)	30.5	33.0	46.9	51.3	60.9
growth (%)	-29%	9%	42%	9%	19%
P/E (x)	27.3	25.1	17.7	16.2	13.6
P/B (x)	3.6	3.2	2.9	2.6	2.3
EV/EBITDA (x)	14.5	13.0	9.1	7.4	5.8
ROCE (%)	12.7	12.5	15.9	15.9	17.1
RoE (%)	13.4	13.5	16.9	16.7	17.9
Dividend yield (%)	1.8	2.0	2.3	2.5	2.9

Source: Company

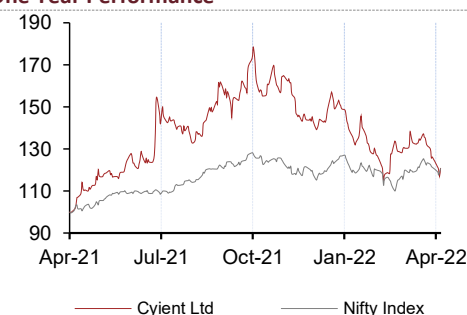
Rating	TP (Rs)	Up/Dn (%)
BUY	1,218	46

Market data

Current price	Rs	831
Market Cap (Rs.Bn)	(Rs Bn)	92
Market Cap (US\$ Mn)	(US\$ Mn)	1,204
Face Value	Rs	5
52 Weeks High/Low	Rs	1,292 / 670
Average Daily Volume	('000)	338
BSE Code		532175
Bloomberg		CYL.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	23.41	23.41
Public	76.59	76.59
Total	100	100

Source: Bloomberg

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Concall Highlights

- **Services** (83.3% of revenue) reported a growth of +1.1% qoq / +9.2% yoy whereas DLM (16.7% of revenue) reported a degrowth of -9.3% qoq / -13.8% yoy
- Growth in services was mainly impacted due to supply side constraints and due to material availability in DLM. However, Greater degree of confidence in FY23 as compared to FY22
- Supply-side issues are getting resolved as company has added 52 recruiters and revived the recruitment engine
- **Margin walk:** +74 bps due to change in revenue mix, +60 bps due to lower depreciation, +47 bps due to improvement in operational metrics which was offset by 202 bps due to increase in SGA spend. Cyient is typically spending 1.5-2% of revenue into investments to drive growth in the long term and for employee retention
- Cash & Cash Equivalents stood at INR 15,689 Mn
- FCF for FY22 stood at INR 5,776 Mn vs INR 7,609 Mn in FY21 (lower YoY due to increase in working capital and higher taxes).

Segment-wise Commentary

- **Transportation:** de-grew during the quarter due to Rail segment (-2.4% qoq / -13.9% yoy) while Aerospace was largely flat. Although Aerospace grew 9.6% yoy, not reached the peak yet, but momentum is picking up. First half will be muted and 2nd half will see recovery. Aerospace business is well diversified now as against concentrated earlier. Rail: post the consolidation of 2 large players, seeing momentum in rail signaling and embedded systems and expect this subsegment to bounce-back in the next 2 quarters
- **Communications:** (+6.4% qoq / +7.7% yoy) launched Private 5G Networks Center of Excellence in collaboration with Indian Institute of Technology, Hyderabad for testing various digital use cases and interoperability of network components from industry leaders. Won 3 major deals in Q4 and see growth momentum to continue into FY23 and expect double digit growth.
- **Utilities:** witnessed a de-growth of -4.9% qoq in Q4 FY22 owing to cyclicalities in major project execution. Expect growth to bounce-back in FY23 due to technology led transformational programs

- **Portfolio:** (+0.6% qoq / +17.6% yoy) 75% of growth in Portfolio is driven by Medical Tech and expect that to continue. Semiconductor saw minor degrowth in Q4, however, can expect 20%+ growth in FY23e. Despite de-growth in Q4, expect to grow 20%+ yoy as global production levels are in high demand. Geospatial saw marginal decline during the quarter. Going ahead, Cyient is focusing on adjacencies across the enterprise including Mining, Communications, Automotive and Utilities along with acceleration on initiatives around geospatial AI. Automotive & Mobility: witnessed sequential growth in Q4 FY22. The Automotive & Mobility Business Unit is pacing itself for a year of exponential growth in 2023. Infotainment & Connected, ADAS & Autonomous, Hybrid & Electric Mobility are three sectors that are expected to spearhead this growth.
- **DLM** - material availability and supply side issues impacted growth, expect this to continue into Q1FY23 and improve gradually

Outlook for FY23e

- **Revenue:** Expect Group revenue to grow at 13-15% in cc terms with DLM growing at high single digits
- **Margin outlook:** Expect EBIT margins in the range of 13-14%
- **Attrition:** Fresher intake, onboard resources through rebadging and lateral hires are some strategies company is using to tackle attrition
- **SGA:** From Q3 to Q4 there was a one-off in SGA but in the long term it will remain at steady state as per historic trend as investments will continue

Outlook for FY23e

- Expect MoU with IIT Hyderabad for Research Collaboration - Private 5G Center of Excellence
- Partnered with iBASEt (which offers industry leading manufacturing solutions) to enhance the capabilities of both companies to design and implement world-class solutions that address complex challenges faced by discrete manufacturers
- Launch of Firmware Over-The-Air (FOTA) Solution for Connected Devices. This solution is built for Original Equipment Manufacturers (OEMs) in Industrial, Construction, Agriculture, Mining, Medical, and Automotive/Off-highway, to ensure that there is a significant reduction in the cost of after-sales service support, and an avenue for additional revenue through optional new feature upgrades for end-users

Quarterly Deviation Sheet

YE March (Rs. mn)	Q4 FY22	Q3 FY22	Q-o-Q change %	Q4 FY21	Y-o-Y change %	Q4 FY22 Est.	Deviation %
Total Revenue (USD Mn)	156.7	158	(0.8%)	150	4.5%	156	0.4%
Total Revenue (INR Mn)	11,812	11,834	(0.2%)	10,931	8.1%	11,624	1.6%
Less:							
Cost of Revenues	7,156	7,455	(4.0%)	6,864	4.3%	7,343	-2.6%
SG&A Expenses	2,532	2,261	12.0%	2,136	18.5%	2,325	8.9%
Total Expenditure	9,688	9,716	(0.3%)	9,000	7.6%	9,668	0.2%
EBIDTA	2,124	2,118	0.3%	1,931	10.0%	1,956	8.6%
Less: Depreciation	429	486	(11.7%)	491	(12.6%)	477	-10.1%
EBIT	1,695	1,632	3.9%	1,440	17.7%	1,479	14.6%
Interest Paid	104	105	(1.0%)	112	(7.1%)	105	
Other income (expense), net	494	221	123.5%	403	22.6%	232	112.5%
Profit Before Tax	2,085	1,748	19.3%	1,655	26.0%	1,606	29.8%
Tax	465	418	11.2%	390	19.2%	384	21.1%
PAT before Minority Interest	1,542	1,318	17.0%	1,340	15.1%	1,222	26.2%
Profit After Tax	1,542	1,318	17.0%	1,340	15.1%	1,222	26.2%
Adjusted PAT	1,542	1,318	17.0%	1,416	8.9%	1,222	
Basic & Diluted EPS (Rs.)	14.0	12.0	17.0%	12.9	8.9%	11.1	26.2%
Basic & Diluted Outstanding (mn)	110	110		110		110	
Margin Analysis %			Change In bps		Change In bps		
EBIDTA Margin	18.0%	17.9%	8	17.7%	32	16.8%	115
EBIT Margin	14.3%	13.8%	56	13.2%	118	12.7%	163
PBT Margin	17.7%	14.8%	288	15.1%	251	13.8%	383
NPM	13.1%	11.1%	192	12.3%	80	10.5%	254
Effective Tax Rate (%)	26.0%	24.6%	144	19.0%	701	23.9%	213
Cost Analysis %			Change In bps		Change In bps		
Cost of Revenues/ Sales	60.6%	63.0%	-241	62.8%	-221	63.2%	-259
Other income/ PBT	23.7%	12.6%	1,105	24.4%	-66	14.5%	922

Source: Company, D&B Research

Valuation & Outlook

As per management guidance, Q4FY22 was a disappointing performance on the revenue front and a positive surprise on the margins front. The worst seems to be over for Cyient and we believe that all non-performing Business Units such as Aerospace, Rail Transportation, Utilities and Portfolio of Services will start recovering gradually on a sequential basis beginning Q1FY23 (see commentary in concall KTAs above).

The management has guided for 13-15% revenue growth in cc terms and EBIT margins of 13-14% which we believe is achievable as industries revert back to post-COVID normal. Going ahead, we believe that spend in Aerospace industry, Rail and Semiconductor BU will accelerate further in FY24e as industry specific issues recede.

The stock is currently trading at 16.2x / 13.6x FY23e / FY24e EPS.

We retain a BUY rating on the stock and retain our target multiple of 20x FY24e EPS (versus peers in the industry which are trading in a range of 30x to 60x) to arrive at a target price of INR 1,218. We believe that this multiple is still at a steep discount to peers and if earnings growth surprises positively, the stock can see further re-rating.

Financials

Profit & Loss A/c					
YE March (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Total Revenue	44,274	41,324	45,344	52,288	61,689
Less:					
Cost of Services	4,066	5,165	5,881	6,328	7,325
Employee Cost	24,776	21,611	22,665	26,030	30,891
SG&A Expenses & Other	9,683	8,350	8,795	10,209	12,029
Total Operating Expenditure	38,381	35,224	37,166	42,958	50,708
EBIDTA	5,893	6,100	8,178	9,330	10,981
Less: Depreciation	1,878	1,945	1,922	2,144	2,529
EBIT	4,015	4,155	6,256	7,187	8,452
Growth %	-24.6%	3.5%	50.6%	14.9%	17.6%
Interest Paid	486	433	393	416	416
Non-operating Income	1,583	1,399	1,121	1,046	1,234
Profit Before tax	4,708	5,080	6,984	7,816	9,270
Tax	1,270	1,351	1,692	2,032	2,410
Net Profit before Minority	3,438	3,729	5,292	5,784	6,860
Minority Interest	-13	-13	-13	-13	-13
Profit/Loss of Associates	-28	-28	-28	-28	-28
Net Profit	3,397	3,688	5,251	5,743	6,819
Adjusted Profit	3,423	3,714	5,277	5,769	6,845
Reported Diluted EPS Rs	30.5	33.0	46.9	51.3	60.9
Growth %	-29.3%	8.5%	42.1%	9.3%	18.6%
Adjusted Diluted EPS Rs	30.5	33.0	46.9	51.3	60.9

Key Ratios					
EBIDTA (%)	13.3%	14.8%	18.0%	17.8%	17.8%
EBIT (%)	9.1%	10.1%	13.8%	13.7%	13.7%
NPM (%)	7.7%	9.0%	11.6%	11.0%	11.1%
RoE (%)	13.4%	13.5%	16.9%	16.7%	17.9%
RoCE (%)	13.5%	12.9%	17.8%	18.8%	20.2%
Tax Rate %	27.0%	26.6%	24.2%	26.0%	26.0%
Book Value Per share (Rs.)	227.8	263.1	291.4	322.2	358.7
Valuation Ratios					
P/E (x)	27.5x	25.3x	17.8x	16.3x	13.7x
EV/EBITDA	14.6x	13.1x	9.2x	7.4x	5.9x
P/BV (x)	3.7x	3.2x	2.9x	2.6x	2.3x
Market Cap. / Sales (x)	2.1x	2.3x	2.1x	1.8x	1.5x

Balance Sheet (Consolidated)					
YE March(Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Liabilities					
Equity Capital	550	550	563	563	563
Reserves & Surplus	25,059	29,023	32,189	35,651	39,757
Equity	25,609	29,573	32,752	36,214	40,320
Net Worth	25,609	29,573	32,752	36,214	40,320
Net Deferred tax liability	4,170	3,646	3,345	3,720	3,571
Total Loans	883	619	355	91	-173
Capital Employed	30,662	33,838	36,453	40,025	43,718
Assets					
Gross Block	9,353	10,674	11,808	13,115	14,657
Less: Depreciation	5,148	5,804	7,726	9,870	12,399
Net Block	4,205	4,870	4,082	3,245	2,258
Investments	723	610	669	772	911
Current Assets					
Sundry Debtors	7,262	8,026	8,075	8,595	9,803
Cash and Bank Balance	9,250	14,650	19,456	24,746	29,402
Loans and Advances	7,756	5,341	3,401	3,503	4,133
Total Current Assets	29,269	32,144	34,260	40,612	47,279
Less:Current Liabilities					
Sundry Creditors	3,729	4,532	4,786	5,532	6,530
Total Current Liabilities	11,135	11,090	9,885	11,951	14,106
Capital Applied	30,662	33,838	36,453	40,025	43,718

Cash Flows (Consolidated)					
YE December (Rs. Mn)	FY20	FY21	FY22	FY23E	FY24E
PAT	3,423.0	3,714.0	5,277.0	5,769.1	6,844.5
Less: Non Operating Income	(1,583.0)	(1,399.0)	(1,121.0)	(1,045.8)	(1,233.8)
Add: Depreciation	1,878.0	1,945.0	1,922.0	2,143.8	2,529.3
Add: Interest Paid	486.0	433.0	393.0	416.0	416.0
Operating Profit before WC Changes	4,232.0	4,721.0	6,499.0	7,311.1	8,584.0
Net Cash From Operations	3,237.0	7,201.0	7,984.9	8,314.5	8,727.3
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	(2,553.0)	(2,610.0)	(1,133.6)	(1,307.2)	(1,542.2)
Cash Flow from Financing Activities					
Inc/(Dec) in Total Loans	(253.0)	(264.0)	(264.0)	(264.0)	(264.0)
Dividend Paid	(1,689.0)	(1,914.2)	(2,110.8)	(2,307.6)	(2,737.8)
Net Cash from Financing Activities	(2,648.0)	(1,012.0)	(3,055.5)	(2,612.5)	(3,567.7)
Net Inc/Dec in cash equivalents	(859.0)	5,359.0	4,806.4	5,289.2	4,656.2
Opening Balance	9,705.0	9,250.0	14,650.0	19,456.4	24,745.6
Closing Balance Cash and	8,846.0	14,609.0	19,456.4	24,745.6	29,401.8

Free Cash Flow Statement					
YE March (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
EBITDA	5,893	6,100	8,178	9,330	10,981
FC Investment	1,028	1,321	1,134	1,307	1,542
WC Changes	-995	2,480	1,486	1,003	143
Depreciation Tax Shield	507	517	466	557	658
Tax Expenses	1,590	1,622	1,981	2,426	2,855
FCF	2,787	6,154	7,015	7,158	7,385

Key Ratios (Consolidated)					
YE March (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Key Operating Ratios					
EBITDA Margin (%)	13.3%	14.8%	18.0%	17.8%	17.8%
Tax / PBT (%)	27.0%	26.6%	24.2%	26.0%	26.0%
Net Profit Margin (%)	7.7%	9.0%	11.6%	11.0%	11.1%
RoE (%)	13.4%	13.5%	16.9%	16.7%	17.9%
RoCE (%)	12.7%	12.5%	15.9%	15.9%	17.1%
Current Ratio (x)	2.6x	2.9x	3.5x	3.4x	3.4x
Dividend Payout (%)	49.3%	51.5%	40.0%	40.0%	40.0%
Book Value Per Share (Rs.)	227.8	263.1	291.4	322.2	358.7
Financial Leverage Ratios					
Interest Coverage (x)	12.1x	14.1x	20.8x	22.4x	26.4x
Growth Indicators %					
Sales Growth (%)	(4.1%)	(6.7%)	9.7%	15.3%	18.0%
EBITDA Growth (%)	(8.4%)	3.5%	34.1%	14.1%	17.7%
Net Profit Growth (%)	(29.3%)	8.5%	42.1%	9.3%	18.6%
Diluted EPS Growth (%)	(29.3%)	8.5%	42.1%	9.3%	18.6%

Source: Dalal & Broacha Research, Company

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